

Acme Corporation Annual Report

Fiscal Year 2022 — Financial Statements and MD&A;

Letter to Shareholders

Fiscal year 2022 was a year of disciplined execution. Total revenue grew 18 percent to \$115.9 million, driven by strong demand for our core platform in North America and Europe. We ended the year with \$61.5 million in cash and cash equivalents and no long-term debt.

While macroeconomic conditions remained uncertain, we continued to invest in product development and go-to-market expansion. Our operating margin expanded modestly to 4.2 percent from 2.8 percent in the prior year.

Revenue Summary

Total revenue for fiscal year 2022 was \$115.9 million, up 18 percent from \$98.2 million in 2021. Subscription revenue accounted for \$76.3 million (66 percent), professional services for \$24.1 million, and other revenue for \$15.5 million. Net revenue retention was 112 percent.

Revenue Line	FY2022 (\$M)	FY2021 (\$M)	Growth
Subscription	76.3	62.1	23%
Professional Services	24.1	21.4	13%
Other	15.5	14.7	5%
Total	115.9	98.2	18%

Operating Expenses

Total operating expenses were \$111.0 million. Research and development accounted for \$42.5 million, sales and marketing for \$38.9 million, general and administrative for \$22.4 million, and depreciation and amortization for \$7.2 million.

Cash Position

Cash and cash equivalents at year end were \$61.5 million, up from \$54.8 million at the end of 2021. Free cash flow was \$8.2 million. The company has no long-term debt. A revolving credit facility of \$20 million remains undrawn.

Headcount

Total headcount at year end was 2,847 employees, up from 2,463 at the end of 2021. Engineering grew to 1,120, sales to 780, and customer success to 340.

2023 Outlook

Management guides fiscal year 2023 revenue to \$140 to \$148 million, representing 21 to 28 percent growth. Operating margin is expected to expand to 7 to 9 percent. Headcount is planned to grow to approximately 3,200 employees.